Introduction to Negligent Misstatement

English law | Study guide | Words, reliance and financial loss

1. What is negligent misstatement?

A negligent misstatement is inaccurate or misleading information or advice given without reasonable care. A claimant may rely on it when making a decision and suffer financial loss. Liability is possible even where the speaker was honest: carelessness and deliberate deceit are different matters.

For this lesson, the focus is **pure economic loss**: financial loss that does not depend on actionable injury to the claimant or damage to the claimant's property. The usual restriction on recovering such loss in negligence has important exceptions. Negligent misstatement is one of them, where the required relationship and other conditions are established.

> A wrong statement plus a financial loss does not automatically create liability. The claimant must establish a duty covering the relevant advice and loss, a breach of that duty, reasonable reliance and the necessary causal link.

2. An invented example

A professional adviser accepts the task of checking a business's financial position for a lender's proposed loan. Through a careless examination, the adviser gives misleading reassurance. The lender reasonably relies on that advice, advances money and suffers loss when the business fails. A claim may arise, but the lender must prove each legal requirement.

3. Essential vocabulary

Claimant: the person seeking a remedy. **Defendant:** the person sued. **Reliance:** using information as a basis for action. **Creditworthiness:** the ability to meet financial obligations. **Disclaimer:** wording seeking to deny or limit responsibility.

Scope: negligence in England and Wales. This introductory guide concerns financial loss caused by advice; it does not replace the separate rules on contractual misrepresentation or fraud.

Hedley Byrne v Heller

1. Facts: the parties and the credit references

Hedley Byrne & Co Ltd was an advertising agency. It placed advertising orders for its client, **Easipower Ltd**, on terms making the agency itself liable to pay the media companies. Concerned about Easipower's finances, it asked its own bank to obtain references from Easipower's bankers, **Heller & Partners Ltd**.

Heller supplied broadly favourable references, although the written response also cautioned that the proposed figures exceeded what it was accustomed to seeing. The references were communicated through the banks. Hedley Byrne relied on them and suffered financial loss when Easipower went into liquidation.

The report records a pleaded loss of £17,661 18s. 6d.; the trial judge's alternative damages figure, if liability had existed, was £15,454 3s. 6d. These are different figures, not a damages award actually obtained.

2. Why did the agency lose?

The bank's written reference expressly stated: *"For your private use and without responsibility on the part of this bank or its officials."* The disclaimer was decisive. The House of Lords dismissed Hedley Byrne's appeal: **Heller won and did not have to compensate the agency**.

The disclaimer prevented the relevant assumption of responsibility and duty from arising on these facts. Do not say that every element of an actionable claim was present and that the bank was nevertheless liable but excused. Nor should the case be presented as a final award that would automatically follow if one sentence were removed.

3. Why is the case still important?

The House recognised that a sufficiently special relationship can support a duty to take care in giving information, even without a contract between claimant and defendant. Thus pure economic loss from careless advice can be recoverable in principle, despite the claimant's defeat in this case.

> Separate the rule from the outcome: the law recognised possible liability for negligent advice; this defendant escaped liability because of the disclaimer.

Hedley Byrne & Co Ltd v Heller & Partners Ltd [1964] AC 465. Judgment: 28 May 1963; 1964 is the report year.

When Can Liability Arise?

1. A relationship that justifies responsibility

A central question is whether the defendant assumed responsibility for the relevant advice and whether the claimant's reliance was reasonable. Consider the adviser's skill, the seriousness of the inquiry, the intended recipient and purpose, and what the adviser knew about the likely use of the information. A formal promise or a fee is not always necessary.

The "special relationship" is a legal relationship of responsibility, not personal friendship. Equally, foreseeable financial harm alone does not make the speaker responsible to every person who might encounter the statement.

2. Carelessness, reliance and the loss claimed

An incorrect conclusion does not by itself prove a lack of reasonable care. The claimant must show a breach of the required standard. They must also have actually relied on the advice: information received only after the decision cannot normally have caused that decision.

Ask what would have happened with proper advice and whether the claimed loss falls within the purpose of the duty. Compensation does not automatically cover every loss associated with the transaction. A business failure alone is not proof that its bank gave negligent advice.

3. Disclaimers: then and now

A disclaimer can affect whether responsibility was undertaken or limit liability. Its wording and the context matter. Today applicable legislation must also be checked: under the **Unfair Contract Terms Act 1977, sections 2 and 11**, exclusion of negligence liability for economic loss can be subject to reasonableness where that Act applies.

Consumer terms and notices may instead fall under the **Consumer Rights Act 2015**, including its fairness requirement. It is inaccurate to say that all disclaimers are valid, or that modern law makes every disclaimer ineffective.

> Invented contrast: advice prepared for a named lender's particular loan is different from a casual prediction at a social gathering. Examine responsibility, purpose and reliance; neither label decides the case automatically.

Check Your Understanding

1. Must the defendant deliberately lie?
Answer: No. Negligent misstatement concerns lack of reasonable care; deliberate deceit is a different basis of liability.

2. Who was the client in Hedley Byrne?
Answer: Easipower Ltd. Hedley Byrne was the advertising agency; Heller was the client's bank. The inquiries went through the agency's own bank.

3. Who won the case, and why?
Answer: Heller won. Its disclaimer prevented the relevant responsibility and duty from arising; Hedley Byrne's appeal failed.

4. Can pure economic loss ever be recovered without a contract?
Answer: Yes. Hedley Byrne recognised that a sufficiently special relationship can support a negligence duty for advice. The other requirements must still be established.

5. Is a wrong opinion automatically negligent?
Answer: No. Assess the care and skill required in context. An unfavourable outcome does not itself establish breach.

6. What if the claimant never relied on the statement?
Answer: The necessary link between that advice and the decision is missing. They cannot simply attribute the resulting loss to the statement.

7. Does "without responsibility" always defeat a claim today?
Answer: No. Interpretation, context and applicable statutory controls must be considered. A disclaimer is neither automatically effective nor automatically invalid.

> Exam sequence: identify advice and purpose → responsibility/duty → breach → actual and reasonable reliance → causation and loss within the duty's scope → disclaimer and statutory controls.

Sources

Adapted from the supplied transcript, with names, case outcome and legal qualifications corrected. Primary text: Hedley Byrne [1964] AC 465, especially pp 467-469, 486, 502 and 529. Legislation: UCTA 1977, s 2, s 11; CRA 2015, s 62. Examples are invented teaching illustrations.